

Stock Market Fundamentals & Listed Financial Statement Analysis

Prerequisite Module 1: Domain Knowledge & HDFC Bank Limited Financial Evaluation

1. Fundamental Stock Market Concepts Summary

What is a Stock Market? A centralized marketplace facilitating the issuance, buying, and selling of equity shares of publicly listed companies, enabling corporate capital raising and investor wealth creation.

NSE & BSE: The National Stock Exchange (NSE) and Bombay Stock Exchange (BSE) are India's premier stock exchanges. BSE is Asia's oldest exchange (established 1875), while NSE is the largest derivatives exchange globally.

Nifty & Sensex: NIFTY 50 (NSE benchmark index comprising 50 major large-cap stocks) and SENSEX 30 (BSE benchmark index comprising 30 financially sound blue-chip companies).

IPO & SME IPO: Initial Public Offering (IPO) is when an unlisted company issues new shares to the public for mainboard listing. SME IPO caters to Small and Medium Enterprises with lower paid-up capital requirements (post-issue capital up to ₹25 Cr).

Market Capitalization: Total market value of a company's outstanding equity shares (MCap = Current Price x Outstanding Shares). Categorized into Large Cap (>₹20,000 Cr), Mid Cap (₹5,000 Cr–₹20,000 Cr), and Small Cap (<₹5,000 Cr).

P/E & P/B Ratios: Price-to-Earnings Ratio (P/E = Price / EPS) measures valuation relative to earnings. Price-to-Book Ratio (P/B = Price / Book Value per Share) evaluates stock price against net tangible asset value.

EPS & Dividends: Earnings Per Share (EPS = Net Profit / Total Shares) indicates profitability per share. Dividend is the portion of profit distributed to shareholders; Dividend Yield measures cash return.

Bonus Shares & Stock Splits: Bonus shares are additional free shares issued to existing shareholders from accumulated reserves (e.g. 1:1 bonus). Stock Split reduces face value (e.g. ₹10 to ₹2 face value), increasing liquidity without altering market cap.

Trading Volume: Total number of shares or contracts traded during a specified period, reflecting market liquidity and interest.

2. Financial Statement Analysis: HDFC Bank Limited (NSE: HDFCBANK / BSE: 500180)

HDFC Bank Limited is India's largest private sector bank by assets (post-merger with HDFC Ltd). Below is the quantitative financial statement analysis spanning Balance Sheet, Profit & Loss (P&L), Cash Flow, and Key Financial Ratios:

Financial Metric / Statement Category	FY2023 (Pre-Merger)	FY2024 (Post-Merger)	YoY Growth / Variance
Balance Sheet: Total Assets	₹24,66,081 Cr	₹36,17,623 Cr	+46.7%
Balance Sheet: Total Deposits	₹18,83,395 Cr	₹23,79,786 Cr	+26.4%
Balance Sheet: Gross Advances (Loans)	₹16,00,586 Cr	₹24,84,863 Cr	+55.2%
P&L: Total Interest Income	₹1,61,586 Cr	₹2,14,702 Cr	+32.9%
P&L: Net Interest Income (NII)	₹86,842 Cr	₹1,08,532 Cr	+25.0%
P&L: Net Profit After Tax (PAT)	₹44,108 Cr	₹64,060 Cr	+45.2%

Key Ratio: Net Interest Margin (NIM)	4.10%	3.63%	-47 bps (Merger Dilution)
Key Ratio: Gross NPA %	1.12%	1.24%	+12 bps (Stable Asset Quality)
Key Ratio: Net NPA %	0.27%	0.33%	+6 bps (Best-in-Class)
Key Ratio: Return on Equity (ROE)	17.1%	16.8%	Robust Capital Efficiency
Key Ratio: Capital Adequacy Ratio (CAR)	19.3%	18.8%	Well above 15% Min Regulatory Requirement

Analytical Insights on HDFC Bank Financial Performance:

- 1. **Scale Expansion & Post-Merger Synergies:** Total assets expanded by 46.7% to ■36.17 Lakh Crores following the mega-merger with HDFC Ltd. Advances grew 55.2% driven by home loan integration.
- 2. **Prudent Asset Quality Management:** Despite structural expansion, Net NPA remained exceptionally low at 0.33%, demonstrating industry-leading credit underwriting standards.
- 3. **Earnings & Capital Strength:** Net profit grew 45.2% to ■64,060 Crores with a Return on Equity (ROE) of 16.8% and CAR of 18.8%, providing substantial capital buffer for future credit growth.